More importantly, equity, fair burden sharing, and equitable access to global atmospheric resources have to be protected and addressed more adequately.

With the ***Twelfth Plan's focus*** on **'environmental sustainability'**, India is on the right track. However, the challenge for India is to make the key drivers and enablers of growth like infrastructure, the transportation sector, housing, or sustainable agriculture to grow sustainably. This leads us to the most vital issue: of raising additional resources for meeting the need for economic growth with greater environmental sustainability. More often, it is the resource crunch which is the stumbling block for developing countries like India. While it makes efforts to efficiently and expeditiously bring price signals and other policy instruments into play, India could do much more if new and additional finance and technology were made available through the multilateral processes. There is a case for greater cooperation, action, and innovation, provision of finance and technology for developing countries, and institutions and mechanisms for capacity building.

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* As per a Ministry of Finance release dated 29th March 2013, the CAD of India has reached to the level of 6.7 per cent by the 3rd Quarter (October-December) of the fiscal 2012-13 which is the highest ever level in India's history.

1 Prepared by Mr. Rohit Lamba and Dr. Prachi Mishra. We would like to thank Amresh Acharya at the World Gold Council, Suresh Phadnis at PMEAC, Sneha Arora and Arun Narendhranath at ISB for many discussions.

2 There are three active gold mines, which meet less than 1 per cent of domestic demand.

3 World Gold Council.

References: Sehgal, Sanjay Muneesh Kumar, Wasim Ahmad and Priyanshi Gupta, 2012, "The gold rush and policy options: An empirical study", Department of Financial Studies, University of Delhi.

4 Prepared by Abhijit Banerjee and Gaurav Chiplunkar, cited by the *Economic Survey 2012-13*, p. 14